# DEED OF VARIATION

relating to a Lease of Unit 4, Merrow Arcade, 18-24 Kingsgate Street, Bath BA1 2JX

THIS DEED is dated the 15th day of October 2020

PARTIES

(1) CARROW HILL ESTATES LIMITED (company number 05928814) whose registered office is at Carrow House, 11 Ashgrove Terrace, Bath BA2 6LP ("the Landlord"); and

(2) ASHDOWN & PRYCE RETAIL LIMITED (company number 07419385) whose registered office is at Pryce House, 6 Fennimore Way, Reading RG1 8TQ ("the Tenant").

BACKGROUND

(A) This Deed is supplemental to the Lease.

(B) The Landlord is entitled to the reversion immediately expectant on the term granted by the Lease and the Tenant is entitled to the residue of that term.

(C) As a result of the closure of non-essential retail premises and the reduced footfall at the Centre during the coronavirus pandemic, the Tenant has requested, and the Landlord has agreed, to concede one half of the Annual Rent for the four quarters from 24 June 2020 to 24 March 2021 inclusive and to defer payment of the conceded rent, in each case on the terms of this Deed.

(D) In consideration of the concession the Tenant has agreed to the variation of the Tenant's option to determine contained in clause 9 of the Lease on the terms of this Deed.

AGREED TERMS

1. **DEFINITIONS AND INTERPRETATION**

1.1 In this Deed:

"Concession Quarters" means the four quarters of the Term beginning on 24 June 2020, 29 September 2020, 25 December 2020 and 25 March 2021 respectively, and "Concession Quarter" means any one of them;

"Deferred Rent" means the aggregate of the amounts of the Annual Rent conceded and deferred under clause 3, being FORTY THREE THOUSAND TWO HUNDRED AND FIFTY POUNDS (£43,250.00);

"Deferred Rent Payment Date" means 24 December 2021;

"Effective Date" means the date of this Deed; and

"the Lease" means the lease of the Premises dated 24 June 2016 and made between (1) the Landlord and (2) the Tenant for a term of fifteen years from and including 24 June 2016.

1.2 Words and expressions defined in the Lease have the same meanings in this Deed unless the context requires otherwise, and the rules of interpretation in clause 1.2 of the Lease apply to this Deed.

1.3 References to clauses are to clauses of this Deed unless stated to be clauses of the Lease.

2. **VARIATION**

2.1 With effect from the Effective Date the Lease is varied as set out in clauses 3 and 4, and the Lease shall be read and construed accordingly.

3. **RENT CONCESSION AND DEFERRAL**

3.1 In respect of each Concession Quarter the instalment of the Annual Rent payable under clause 3.1 of the Lease shall be reduced by fifty per cent (50%), so that the instalment payable on the


Fictional test document - EchoMind synthetic set

Quarter Day at the start of each Concession Quarter is £10,812.50 instead of £21,625.00.

3.2 The amount by which each instalment is reduced under clause 3.1 (£10,812.50 for each of the four Concession Quarters, totalling £43,250.00) shall not be released but shall be deferred, and the Tenant shall pay the Deferred Rent to the Landlord in full on or before the Deferred Rent Payment Date. The Tenant may pay the Deferred Rent in one sum or in instalments, provided that the whole is paid by the Deferred Rent Payment Date.

3.3 The Deferred Rent is reserved as rent and shall be recoverable by the Landlord as rent in arrear.

3.4 No interest shall be payable under clause 3.4 of the Lease on any part of the Deferred Rent which is paid on or before the Deferred Rent Payment Date. Interest at the Default Rate shall be payable on any part of the Deferred Rent unpaid after that date from the Deferred Rent Payment Date until payment.

3.5 The Landlord acknowledges that the Tenant paid £10,812.50 on 24 June 2020 and £10,812.50 on 29 September 2020, and accepts those payments in full satisfaction of the instalments of the Annual Rent then due, subject to the deferral of the conceded amounts under clause 3.2.

3.6 If before the Deferred Rent Payment Date the Lease is determined for any reason, the Tenant assigns the Lease, or any of the events in clause 8.1(c) of the Lease occurs in relation to the Tenant, the whole of the Deferred Rent then unpaid shall become immediately due and payable.

3.7 The concession in clause 3.1 does not affect the Service Charge or the Insurance Rent, which shall continue to be payable in full.

3.8 The Tenant may pay the whole or any part of the Deferred Rent at any time before the Deferred Rent Payment Date without penalty, and each payment of Deferred Rent shall be identified as such in the Tenant's remittance advice so that it is not applied by the Landlord or its managing agent to any other sum.

3.9 The Landlord shall, within ten Working Days after receipt of the Deferred Rent in full, confirm its receipt to the Tenant in writing.

4. **VARIATION OF THE TENANT'S OPTION TO DETERMINE**

4.1 Clause 9.1 of the Lease is varied by deleting the words "six (6) months'" and substituting the words "nine (9) months'".

4.2 Clause 9.2 of the Lease is varied by deleting the word "and" at the end of clause 9.2(a), by deleting the full stop at the end of clause 9.2(b) and substituting "; and", and by adding a new clause 9.2(c) as follows:

"(c) the Tenant has paid the Deferred Rent (as defined in the Deed of Variation dated 15 October 2020 made between the Landlord and the Tenant) in full on or before 24 December 2021."

4.3 For the avoidance of doubt, the Break Date remains 24 June 2026 and clauses 9.3 to 9.7 of the Lease (including the provision that time shall be of the essence) continue to apply.

5. **CONCESSION PERSONAL TO THE TENANT**

5.1 The concession in clause 3.1 is personal to Ashdown & Pryce Retail Limited and shall not benefit any assignee of the Lease.

5.2 The concession and the deferral in clause 3 shall be disregarded on the review of the Annual Rent as at 24 June 2021 and on any later review, in accordance with paragraph 4.1(d) of Schedule 5 to the Lease.


Fictional test document - EchoMind synthetic set

5.3 The Landlord grants the concession without admission that the Tenant was entitled to any reduction of the Annual Rent under the Lease, and nothing in this Deed shall be treated as a precedent for any future concession or as a waiver of any of the Landlord's rights.

6. **LEASE TO CONTINUE**

6.1 Save as varied by this Deed, the Lease shall continue in full force and effect, and the Landlord and the Tenant confirm the covenants on their respective parts contained in the Lease as varied.

6.2 Any reference in the Lease to "this Lease" shall be read as a reference to the Lease as varied by this Deed.

6.3 The Tenant confirms that, apart from the concession in this Deed, it has no claim against the Landlord for any abatement, suspension or reduction of the Rents in respect of any period before the Effective Date.

6.4 Each party confirms that it has taken independent legal advice on the terms of this Deed and, in particular, the Tenant confirms that it has been advised of the effect of clause 4 on the period of notice required to exercise its option to determine the Lease.

7. **COSTS**

7.1 Each party shall bear its own costs in connection with the negotiation, preparation and completion of this Deed.

8. **THIRD PARTY RIGHTS**

8.1 A person who is not a party to this Deed shall have no right under the Contracts (Rights of Third Parties) Act 1999 to enforce any of its terms.

9. **GOVERNING LAW**

9.1 This Deed and any dispute or claim arising out of or in connection with it shall be governed by the law of England and Wales, and the courts of England and Wales shall have exclusive jurisdiction.

10. **COUNTERPARTS**

10.1 This Deed may be executed in any number of counterparts, each of which when executed and delivered shall constitute an original, and all the counterparts together shall constitute one deed.

This Deed has been executed as a deed and is delivered and takes effect on the date stated at the beginning of it.

Executed as a deed by CARROW HILL ESTATES LIMITED acting by a director in the presence of a witness:

*/s/ M. Doyle*
Martin Doyle, Director

Witness: */s/ S. Rowan*
Name: Sarah Rowan
Address: Carrow House, 11 Ashgrove Terrace, Bath BA2 6LP
Occupation: Office manager

Executed as a deed by ASHDOWN & PRYCE RETAIL LIMITED acting by a director in the presence of a witness:


Fictional test document - EchoMind synthetic set

*/s/ I. Thackeray*
Imogen Thackeray, Director

Witness: */s/ C. Ferreira*
Name: Colin Ferreira
Address: Pryce House, 6 Fennimore Way, Reading RG1 8TQ
Occupation: Company secretary


Fictional test document - EchoMind synthetic set